markets *(Economic Survey 2011-12, p. 349* and *Economic Survey 2012-13, p.158).*

Therefore, there is some scope for exports to grow, particularly to the fast growing economies, many of which are in Asia and Africa and to some extent Latin America, while some of the mature markets may remain important, however with declining shares on the whole for the group. Moreover, the main advantage of a presence in the global market is of being able to benchmark to global standards and therefore worth pursuing in its own right. Additionally, the advantage of having the twin engines of domestic and export demand is that it lends the economy greater resilience to fluctuations in global demand – for which India must keep striving.

4. **Research & Development:** *'Unleashing India's Innovation' (2007),* a World Bank Study observed that India had increasingly become a top global innovator in high-tech products and services. Yet the country is underperforming in terms of its ***innovation*** potential. India spends less than **0.9** per cent of its GDP in the area of R&D, which covers basic research, applied research, and experimental development. This fact emerges from the *OECD Fact Book 2010* that lists 41 countries with Israel ***topping*** the list on this count and most developed countries spending over **2** per cent of their GDP on R&D. While more resources into R&D would be needed, equally critical would be to harness existing institutions and organisations set up for formal R&D and also to encourage grass-roots level innovation[19].

   At a point of time when there is an increasing acceptance of the fact that ***land, water,*** and ***energy*** are likely to be in short supply and environment a major concern, India is well placed to advance through the route of frugal innovation and devising of specific applications suited to the bottom of the pyramid that would not only open new market segments within India but also in other countries in the developing world. That apart, with regard to frontier areas, India is well placed to take advantage of its vast ***diaspora*** to jump-start its R&D efforts. Strategically positioning India as a hub for